

Victor Bazet-Braun

ECO 101: Principles of Microeconomics

Op-Ed Paper

Dr. Richard B. Baker

May 2, 2024

"The Inevitable Rise of Cryptocurrencies: Why Digital Money May Soon Dethrone Traditional Currency"

The rise of cryptocurrencies is making the economic landscape move, by presenting at the same time promising opportunities and major challenges. Let's explore the economic outcomes when cryptocurrencies will become the main type of payment method that will most likely happen, showing how they could significantly change consumers' behavior, monetary policy, and even global economic stability.

Cryptocurrencies have gained popularity, with the most well-known ones being Bitcoin and Ethereum. They represent an opportunity to handle transactions more efficiently and to minimize the cost of maintaining traditional banking. Cryptocurrencies offer low transaction fees, particularly in international transfers, and improved access to financial services for those who cannot afford to pay within the traditional banking system. According to a new report from Crypto.com, "the number of crypto owners around the world has hit 580 million, which represents a 34% increase from the year before" (Toppa, 2024), highlighting the digitalization that is taking shape in the global economy.

But bringing cryptocurrency into everyday use presents a number of issues. One major concern is their extreme volatility: "Daily BTC/USD volatility is around 5%, which is about 5–7 times the volatility of a major forex cross". (Sams, 2021). The value and price of Bitcoin are so volatile and can be influenced by so much, from regulatory news to influence from social media. Such

volatility challenges, in an existential way, the basic economic function of money as “a medium of exchange, unit of account, and store of value.” (Lo & Wang, 2014).

If the price of cryptocurrency fluctuates, this might discourage its use for daily purchases, as consumers would not like to accept a currency that can devalue overnight. But this is something that will perhaps be corrected, especially with Bitcoins, when they are all mined: “Even in bitcoin's digital universe, the same basic economic rules apply, with price being determined by supply and demand.” (Bradbury, 2021). And finally, the rapid development of cryptocurrencies significantly complicates the usual course of monetary policy. These tools and controls, therefore, become absolutely ineffective in the face of decentralized digital currencies that can be applied by central banks and include manipulation of interest rates or control over money supply.

The United States Securities and Exchange Commission is currently in the process of a regulatory framework to help protect investors and “prevent the use of digital currencies for nefarious activities, such as money laundering, to evade governmental sanctions or other illicit activities.” (Phillips, 2021). However, the blockchain technology also provides a positive improvement in transparency and security that has the potential to bring fraud and controversies down.

Despite the potential benefits offered by these cryptocurrencies, the technology may be transformational. It will offer greater financial inclusion by eliminating or reducing the barriers to financial access for millions of people around the globe with respect to traditional bank-provided financial services.

Broadening this perspective, the broad use of cryptocurrencies may bring the potential for disruption in a number of fields, primarily in banking and finance. These disruptions could put the pressure on banks to innovate and introduce new services focusing on financial advisory and even cybersecurity of digital transactions. Its capability to enhance immutable records could revolutionize the verification processes in legal, property, and identity in governments and the private sector.

The adoption of cryptos in emerging countries offers a very unique opportunity. For instance, in countries facing “economic instability and severe hyperinflation, citizens consider them to be a more stable store of value and a form of safe haven.” (Willing, 2024). Cryptocurrencies have an option for storing value against hyperinflation.

Such a change, however, brings new risks related to the global instability of cryptocurrencies and the absence of a central monetary body that can help shape economic policy during times of financial crisis. On the other hand, cryptocurrencies, especially those that need energy in the mining process, have significant economic and ethical impacts on the environment. Several issues of sustainability related to cryptocurrencies have been raised by these high levels of energy consumption in the mining process and have opened debates on the need for an energy-conserving consensus mechanism like proof-of-stake, which is what Ethereum is using now.

Ultimately, while cryptocurrencies promise a future of financial power, they also present substantial economic risks. Carefully designed regulation that balances these risks with the

benefits to the public will need to be considered to integrate this new form of technology into the mainstream. This policy experiment would provide useful data and insights on the practical implications of cryptocurrencies in modern economies.

To conclude, I believe that cryptocurrencies will be really useful in the future. By taking an example of the most used cryptocurrency, the Bitcoin, we can give so many arguments about how it can solve so many problems. Its fixed supply cap of 21 million coins means that it is not subject to devaluation through inflation. It can also be used for international transactions because its transaction fees are low. Bitcoin is decentralized, which means that unlike traditional currencies, it operates on a decentralized network and that means no single entity or government can control or manipulate the Bitcoin network. And finally, it can offer great privacy and security, compared to traditional financial transactions. Thanks to the blockchain, transactions are secure and resistant to fraud. I believe that once the world gets used to the way cryptocurrencies are handled, they will begin to replace current currencies and give way to a new economic era.

References

Phillips, T. (2021, November 4). *The SEC's regulatory role in the Digital Asset Markets*. Center for American Progress.

<https://www.americanprogress.org/article/secs-regulatory-role-digital-asset-markets>

Bradbury, D. (2021, September 11). *Can bitcoin's price ever be stable?* CoinDesk Latest Headlines RSS.

<https://www.coindesk.com/markets/2014/12/06/can-bitcoins-price-ever-be-stable>

Toppa, S. (2024, January 22). There are now 580 million crypto holders worldwide, new report finds - thestreet crypto: Bitcoin and cryptocurrency news, advice, analysis and more.

<https://www.thestreet.com/crypto/innovation/now-580-million-crypto-holders-worldwide-new-report>

Willing, N. (2024, March). *Exploring the increasing adoption of cryptocurrencies in Hyperinflationary Economies*. Techopedia.

<https://www.techopedia.com/exploring-the-increasing-adoption-of-cryptocurrencies-in-hyperinflationary-economies>

Lo, S., & Wang, J. C. (2014b, September 9). *Bitcoin as money?*. Federal Reserve Bank of Boston.

<https://www.bostonfed.org/publications/current-policy-perspectives/2014/bitcoin-as-money.aspx>